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**“...adjustments to income tax slabs to account for inflation would preserve real income levels and enhance disposable income. Similarly, an increase in standard deduction could directly benefit the salaried taxpayers”**



46 | **ROHINTON  
SIDHWA**  
Partner,  
Deloitte India

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these was seen to be only marginal. For taxpayers under the new regime, the Budget revised income tax slabs, increased the standard deduction to ₹75,000, and gave a higher deduction of ₹25,000 for family pension. Together, they can help save ₹17,500 annually for taxpayers under the new tax regime. Further, in 2023-24, the exemption limit for income tax was hiked to ₹7 lakh.

Officials point out that the percentage of income tax collection from taxpayers earning less than ₹10 lakh reduced to 6.22% of the total tax paid in 2024 from 10.17% in 2014. Even for those earning between ₹7 lakh and ₹10 lakh annually, the tax liability was ₹43,000 in FY24.

## EXPANDING BASE

Personal or non-corporate income tax collections have also slowly overtaken the corporate tax mop-up over the last two years, and that trend is likely to continue in FY25 as well. According to the Budget Estimates for 2024-25, corporate taxes are expected to fetch ₹10.2 lakh crore, while taxes on income are estimated to yield

₹11.87 lakh crore. (See graphic ‘The rise and rise of non-corporate income tax’)

The trend has led to some criticism over the high tax burden on individual taxpayers. Consider their argument: The maximum marginal income tax rate under the new tax regime, inclusive of surcharge and cess, as per the Finance Act 2024, is 39%. While this is paid just by a select few, several individuals and experts point out that the highest slab of income tax of 30% starts at an annual income level of just ₹15 lakh. In contrast, domestic companies that opt for concessional rates under Section 115BAA of the Income Tax Act, inclusive of surcharge and cess, as per the Finance Act 2024, have to pay a maximum marginal corporate tax of 25.17%.

However, finance ministry officials and tax experts highlight that there are several reasons for the expanding personal income taxpayer base. Further, they contend that a higher contribution of individual taxpayers in direct taxes is a trend seen in most developed economies.

Rohinton Sidhwa, Partner at Deloitte India, points out that it is generally a good trend for PIT collections to outpace those from corporate tax. “There are economic reasons to tax business activities at a lower rate, as this is aimed to incentivise commercial activity. PIT tends to be taxed at a higher rate and goes up progressively,” he adds.

In India, there are many reasons why personal income tax collections outpace corporate tax collections, Sidhwa explains, including higher capital gains tax as well as the recent move to tax dividends in the hands of individuals.

The Central Board of Direct Taxes in the finance ministry, in fact, recently chose to change the nomenclature of taxes, and PIT is now called non-corporate income tax, as it includes tax on dividends and securities transaction tax.

The government has also highlighted various steps that have led to an increase in the income taxpayer base. These include the new form 26AS that contains all information of deduction or collection of tax at source, specified financial transaction (SFT), and payment of taxes, demand and refund, pre-filled income tax returns (ITRs), the facility to update or correct ITRs, simplification of PIT with the new tax regime, as well as the expanded scope of tax deducted and collected at source.

Considering the progress made on the tax collection front, and in light of the challenges of slowing growth and high inflation, perhaps some relief to individual taxpayers could provide a boost to the economy. **BT**

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